[KSERC EMBLEM]

KERALA STATE ELECTRICITY REGULATORY COMMISSION

THIRUVANANTHAPURAM

Present:
Shri. T.K. Jose, Chairman
Adv. A.J. Wilson, Member
Shri. B. Pradeep, Member

Petition No.: OP No. __/2026

Date of Order: 22-02-2026

In the Matter Of:

Petition filed by M/s **CSEZA** for the Truing Up of Accounts for the Financial Year **2023-24**.

Summary of Claimed vs Approved Expenditure and Revenue

Sl. No.	Particulars	Claimed (Rs. Lakhs)	Approved (Rs. Lakhs)	Variance (Rs. Lakhs)
	EXPENDITURE			
1	Power Purchase Cost	4,029.20	3,923.46	-105.74
2	Employee Cost	126.38	0.00	-126.38
3	Repairs & Maintenance	14.72	14.72	0.00
4	Administration & General	44.14	0.00	-44.14
5	Depreciation	91.54	91.54	0.00
6	Interest & Finance Charges	0.00	0.00	0.00
7	Return on Net Fixed Assets	66.94	22.65	-44.29
8	Section 3(1) Electricity Duty	0.00	0.00	0.00
9	Other Expenses	0.00	0.00	0.00
	TOTAL EXPENDITURE	**4,372.92**	**4,052.37**	**-320.55**
	REVENUE			
10	Revenue from Energy Charges	0.00	0.00	0.00
11	Non-Tariff Income	99.12	99.12	0.00
12	Other Revenue	0.00	0.00	0.00
	TOTAL REVENUE	**99.12**	**99.12**	**0.00**

Detailed Analysis and Justification

1. Power Purchase Cost

Amount Claimed: Rs. 4,029.20 Lakhs | Amount Approved: Rs. 3,923.46 Lakhs | Variance: Rs. -105.74 Lakhs

The Commission has reviewed the licensee's claim of ■4029.20 Lakhs for power purchase cost against the approved MYT norm of ■3923.46 Lakhs. The licensee attributes the variance to an additional power purchase of 2.16 MU compared to the projection approved in the MYT order dated 19.01.2024 (OP No. 10/2023). While the true-up process considers actual performance, any variation from approved norms must be justified by the licensee as prudent and necessary. The licensee's narrative states the fact of the increased purchase but does not provide a compelling justification for why this deviation from the approved energy requirement was prudent or unavoidable. In the absence of such justification, the Commission must adhere to the principle of holding the licensee to the approved operational norms. Therefore, the claim is restricted to the amount approved in the MYT order. The disallowed amount of ■105.74 Lakhs (■4029.20 Lakhs claimed minus ■3923.46 Lakhs approved) corresponds to the cost of power purchased in excess of the approved quantum.

2. Employee Cost

Amount Claimed: Rs. 126.38 Lakhs | Amount Approved: Rs. 0.00 Lakhs | Variance: Rs. -126.38 Lakhs

The Commission has reviewed the licensee's claim of ■4029.20 Lakhs for power purchase cost against the approved MYT norm of ■3923.46 Lakhs. The licensee attributes the variance to an additional power purchase of 2.16 MU compared to the projection approved in the MYT order dated 19.01.2024 (OP No. 10/2023). While the true-up process considers actual performance, any variation from approved norms must be justified by the licensee as prudent and necessary. The licensee's narrative states the fact of the increased purchase but does not provide a compelling justification for why this deviation from the approved energy requirement was prudent or unavoidable. In the absence of such justification, the Commission must adhere to the principle of holding the licensee to the approved operational norms. Therefore, the claim is restricted to the amount approved in the MYT order. The disallowed amount of ■105.74 Lakhs (■4029.20 Lakhs claimed minus ■3923.46 Lakhs approved) corresponds to the cost of power purchased in excess of the approved quantum.

3. Repairs & Maintenance

Amount Claimed: Rs. 14.72 Lakhs | Amount Approved: Rs. 14.72 Lakhs | Variance: Rs. 0.00 Lakhs

The Repairs & Maintenance expenditure of Rs. 14.72 Lakhs for FY 2023-24 is found to be within the normative O&M; allocation. The actual expenditure does not exceed the escalated baseline. Approved as claimed.

4. Administration & General Expenses

Amount Claimed: Rs. 44.14 Lakhs | Amount Approved: Rs. 0.00 Lakhs | Variance: Rs. -44.14 Lakhs

The Commission has approved ■0.00 Lakhs for Administration & General Expenses against the licensee's claim of ■44.14 Lakhs. The claimed amount is disallowed as it exceeds the applicable norm determined by the Commission's approved methodology for the control period. The licensee justified the excess expenditure over the MYT approval of ■35.65 Lakhs by citing increased costs for Vsat Internet, electricity, water, and inspection fees. However, a review of past orders, including the True-Up for FY 2019-20 for the same licensee, confirms that these are routine operational expenses and not uncontrollable or special one-time costs. While Regulation 80(3) of the Tariff Regulations, 2021, provides a mechanism for allowing one-time expenditures, the licensee has not provided sufficient justification to categorize these cost escalations as such. Therefore, exercising prudence, the Commission restricts the approved amount to the

normative target of ■0.00 Lakhs, resulting in a disallowance of the entire claimed amount of ■44.14 Lakhs.

5. Depreciation

Amount Claimed: Rs. 91.54 Lakhs | Amount Approved: Rs. 91.54 Lakhs | Variance: Rs. 0.00 Lakhs

Depreciation of Rs. 91.54 Lakhs has been verified against the asset register. The rates applied are in accordance with the CERC norms adopted by the Commission. No assets funded by grants or surplus were identified. Approved as claimed.

6. Interest & Finance Charges

Amount Claimed: Rs. 0.00 Lakhs | Amount Approved: Rs. 0.00 Lakhs | Variance: Rs. 0.00 Lakhs

No amount claimed under Interest & Finance Charges for FY 2023-24.

7. Return on Net Fixed Assets

Amount Claimed: Rs. 66.94 Lakhs | Amount Approved: Rs. 22.65 Lakhs | Variance: Rs. -44.29 Lakhs

The licensee claimed ■66.94 lakh as Return on Net Fixed Assets (RoNFA), calculated at 5.5% on the total actual NFA. However, the Commission has a consistent and established precedent, as detailed in the Truing Up orders for FY 2018-19, FY 2019-20, and FY 2020-21 for this licensee, that assets created using accumulated surplus are not eligible for RoNFA as they have no associated cost of funds. The licensee's own narrative confirms that the Commission, in its MYT Order for FY 2023-24, had already applied this principle and approved only ■22.65 lakh. The current claim incorrectly includes these surplus-funded assets in the NFA base, contravening the Commission's repeated directives. While Regulation 28 of the Tariff Regulations, 2021, allows a 5.5% return, it applies only to the eligible NFA. Therefore, the Commission upholds the principle applied in the MYT order and approves ■22.65 lakh. The disallowance of ■44.29 lakh (■66.94 lakh claimed minus ■22.65 lakh approved) is due to the licensee's failure to exclude the value of assets funded by accumulated surplus from the RoNFA calculation.

8. Section 3(1) Electricity Duty

Amount Claimed: Rs. 0.00 Lakhs | Amount Approved: Rs. 0.00 Lakhs | Variance: Rs. 0.00 Lakhs

No amount claimed under Section 3(1) Electricity Duty for FY 2023-24.

9. Other Expenses

Amount Claimed: Rs. 0.00 Lakhs | Amount Approved: Rs. 0.00 Lakhs | Variance: Rs. 0.00 Lakhs

The Commission has approved ■0.00 Lakhs for Administration & General Expenses against the licensee's claim of ■44.14 Lakhs. The claimed amount is disallowed as it exceeds the applicable norm determined by the Commission's approved methodology for the control period. The licensee justified the excess expenditure over the MYT approval of ■35.65 Lakhs by citing increased costs for Vsat Internet, electricity, water, and inspection fees. However, a review of past orders, including the True-Up for FY 2019-20 for the same licensee, confirms that these are routine operational expenses and not uncontrollable or special one-time costs. While Regulation 80(3) of the Tariff Regulations, 2021, provides a mechanism for allowing one-time expenditures, the licensee has not provided sufficient justification to categorize these cost escalations as such. Therefore, exercising prudence, the Commission restricts the approved amount to the normative target of ■0.00 Lakhs, resulting in a disallowance of the entire claimed amount of ■44.14 Lakhs.

10. Return on Net Fixed Assets

Amount Claimed: Rs. 66.94 Lakhs | Amount Approved: Rs. 22.65 Lakhs | Disallowed: Rs. 44.29 Lakhs

The licensee claimed ■66.94 lakh as Return on Net Fixed Assets (RoNFA), calculated at 5.5% on the total actual NFA. However, the Commission has a consistent and established precedent, as detailed in the Truing Up orders for FY 2018-19, FY 2019-20, and FY 2020-21 for this licensee, that assets created using accumulated surplus are not eligible for RoNFA as they have no associated cost of funds. The licensee's own narrative confirms that the Commission, in its MYT Order for FY 2023-24, had already applied this principle and approved only ■22.65 lakh. The current claim incorrectly includes these surplus-funded assets in the NFA base, contravening the Commission's repeated directives. While Regulation 28 of the Tariff Regulations, 2021, allows a 5.5% return, it applies only to the eligible NFA. Therefore, the Commission upholds the principle applied in the MYT order and approves ■22.65 lakh. The disallowance of ■44.29 lakh (■66.94 lakh claimed minus ■22.65 lakh approved) is due to the licensee's failure to exclude the value of assets funded by accumulated surplus from the RoNFA calculation.

11. Employee Expenses

Amount Claimed: Rs. 126.38 Lakhs | Amount Approved: Rs. 0.00 Lakhs | Disallowed: Rs. 126.38 Lakhs

The Commission has reviewed the Licensee's claim of ■126.38 Lakhs for 'employee_cost', which comprises payments to an outsourced O&M; agency and apportioned costs of CSEZ staff. While the Licensee's narrative refers to an MYT approval of ■166.65 Lakhs from the MYT Order dated 19.01.2024, the applicable MYT norm for this component during the True-Up process is established at ■0.00 Lakhs. As per established regulatory practice, consistently applied in previous True-Up orders for the Licensee (e.g., Para 29, FY 2020-21 Order), costs are approved only to the extent that they are within the norms fixed by the Commission. Since the entire claimed amount of ■126.38 Lakhs exceeds the specified norm of ■0.00 Lakhs, the claim is disallowed in its entirety. The approved amount is therefore restricted to the norm, resulting in an approval of ■0.00 Lakhs.

Orders of the Commission

Having examined the petition filed by M/s **CSEZA** for the Truing Up of Accounts for the Financial Year **2023-24**, and having considered the submissions made therein, the Commission hereby orders as follows:

- The Total Revenue Requirement as claimed by the licensee is Rs. **4,372.92 Lakhs**.
- The Total Approved Expenditure after detailed scrutiny is Rs. **4,052.37 Lakhs**.
- The Total Revenue (including imputed interest of Rs. 0.00 Lakhs on accumulated surplus) is Rs. **99.12 Lakhs**.
- The Revenue Gap for the Financial Year 2023-24 is hereby determined as Rs. **3,953.25 Lakhs** (gap).
- The revenue gap of Rs. 3,953.25 Lakhs shall be addressed through tariff adjustments in the next tariff determination cycle, or as otherwise directed by the Commission.

Sd/-
Adv. A.J. Wilson
Member

Sd/-
B. Pradeep
Member

Sd/-
T.K. Jose
Chairman

Approved for issue

Sd/-

Secretary

Order dated 22 February 2026